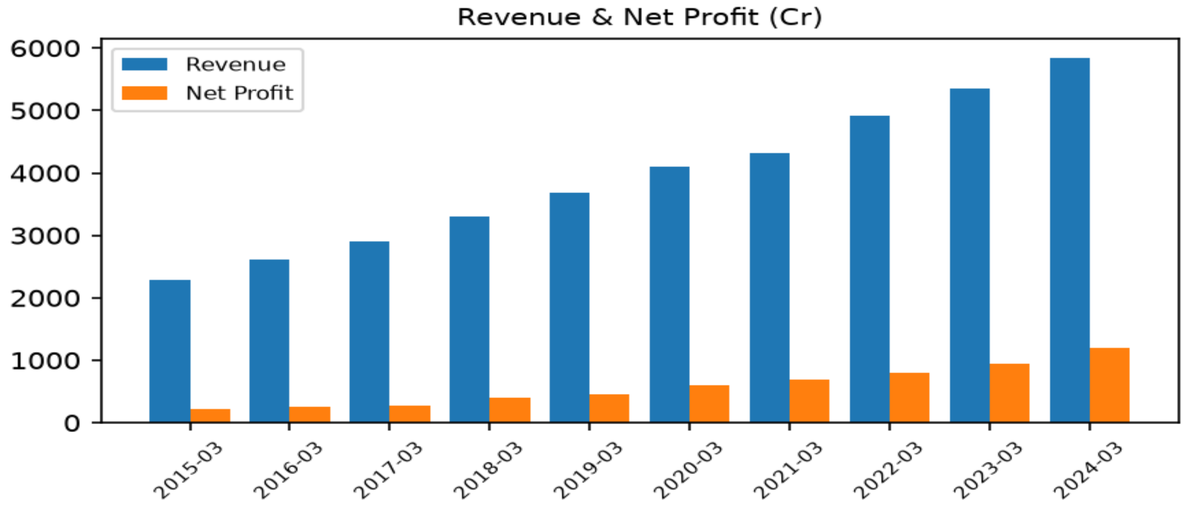
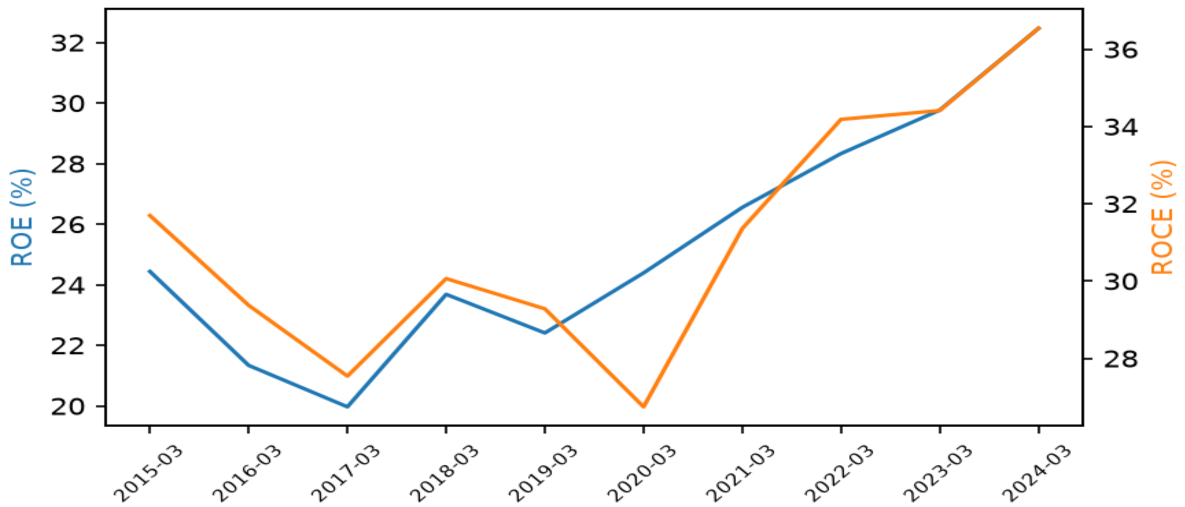
Abbott India Ltd (ABB)

ROE 32.5%	**ROCE** 36.5%	**Net Profit Margin** 20.5%
D/E 0.0	**Revenue CAGR 5yr** 9.7%	**Free Cash Flow (Cr)** 797.0

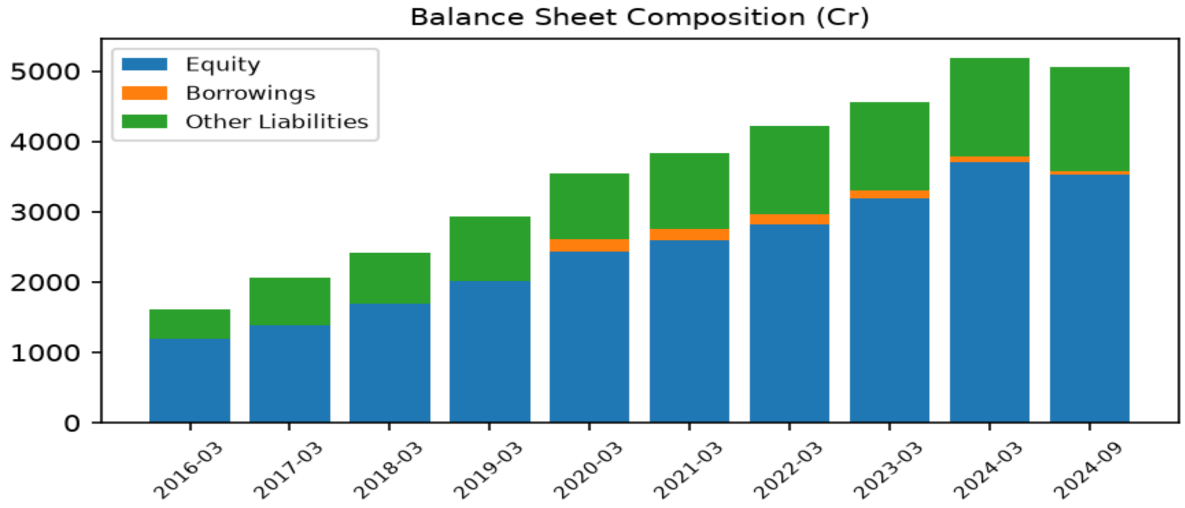
Revenue & Net Profit (10yr)



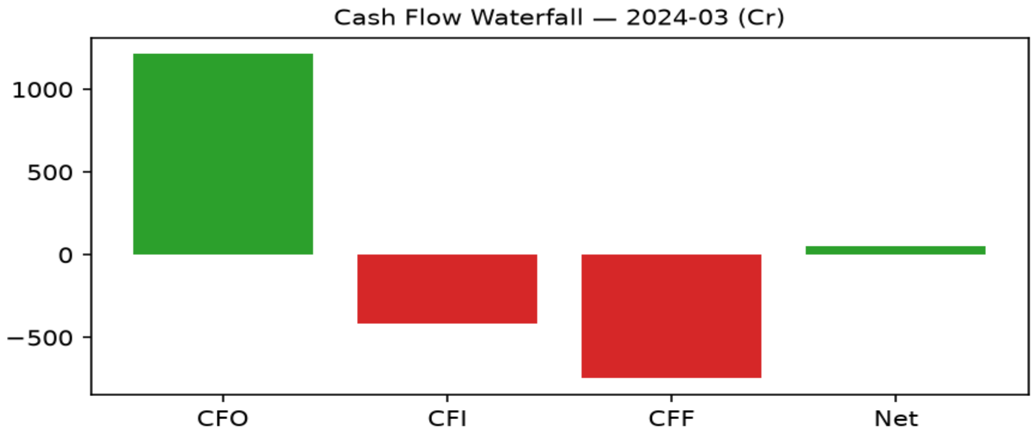
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

✓ Consistently high return on equity above 20% demonstrates exceptional capital efficiency
✓ Strong free cash flow generation over 5 years signals healthy business fundamentals
✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
✓ Consistent dividend yield above 2% backed by positive free cash flow
✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
✓ Return on equity improving for 3 consecutive years shows strengthening business quality
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits
✓ Growing asset base funded by internal accruals reflects self-sustaining growth
✓ Return on equity of 32.5% reflects the company's baseline capital efficiency.

Cons

✗ Debt-to-equity of 0.02 is a general leverage level worth monitoring alongside sector peers.

Capital Allocation: Shareholder Returns